

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MCS INDUSTRIES, INC., *Complainant*

v.

MSC MEDITERRANEAN SHIPPING COMPANY S.A.,
Respondent.

DOCKET NO. 21-05

Served: December 8, 2025

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge.*

INITIAL DECISION APPROVING CONFIDENTIAL SETTLEMENT AGREEMENT¹

On November 19, 2025, Complainant MCS Industries, Inc. (“MCS Industries”) and Respondent MSC Mediterranean Shipping Company S.A. (“MSC”) filed a joint motion (“Motion”) seeking an order: (1) permitting the filing of the Settlement Agreement under seal, (2) approving the Settlement Agreement, (3) on the basis of the Settlement Agreement, dismissing MCS Industries’ fee petition in this action, with prejudice, and (4) maintaining the confidentiality of the Settlement Agreement. Motion at 1. The Office of the Secretary directed the motion to the undersigned for review.

The parties “reached a global settlement to resolve all outstanding issues in the above-captioned matter and the parallel commercial arbitration between the Parties.” Motion at 1. The motion asserts:

The Parties, in consultation with counsel, have carefully considered the cost and risk inherent in continuing to litigate MCS Industries’ fee petition in this action, the outcome of the commercial arbitration, including without limitation the Parties’ respective requests for attorneys’ fees and costs, the shifting of the Panel’s fees and administrative costs, and the cost and risks of any potential appeals from the arbitrators’ decision, and have concluded that it is in their interests to formalize the full and final resolution of the above-captioned matter, their respective claims and counterclaims in the related commercial arbitration, as well as all related costs and expenses, with prejudice, as set forth in the Settlement Agreement.

Motion at 1-2.

¹ This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

Using language borrowed in part from the Administrative Procedure Act, Rule 75 of the Commission's Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where "time, the nature of the proceeding, and the public interest permit." 46 C.F.R. § 502.75(b); *see* 5 U.S.C. § 554(c). If dismissal is sought due to a settlement by the parties, "the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." 46 C.F.R. § 502.72(a)(3). "Unless the order states otherwise, a dismissal under this paragraph is without prejudice." 46 C.F.R. § 502.72(a)(3).

The Commission has a strong and consistent policy of "encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid." *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ May 9, 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ Nov. 29, 1978)); *see also Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ Jan. 21, 1981).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Old Ben Coal, 18 S.R.R. at 1092 (quoting 15A Am. Jur. 2d *Compromise and Settlement* § 3 (1976)).

"While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Old Ben Coal*, 18 S.R.R. at 1092. However, if "a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval." *Old Ben Coal*, 18 S.R.R. at 1093. "[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, Docket No. 88-4, 24 S.R.R. 1129, 1134, 1988 WL 340657, at *7 (ALJ Aug. 12, 1988) (citations omitted).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

The parties state:

The Parties, in consultation with counsel, have carefully considered the cost and risk inherent in continuing to litigate MCS Industries’ fee petition in this action, the outcome of the commercial arbitration, including without limitation the Parties’ respective requests for attorneys’ fees and costs, the shifting of the Panel’s fees and administrative costs, and the cost and risks of any potential appeals from the arbitrators’ decision, and have concluded that it is in their interests to formalize the full and final resolution of the above-captioned matter, their respective claims and counterclaims in the related commercial arbitration, as well as all related costs and expenses, with prejudice, as set forth in the Settlement Agreement.

Motion at 2-3. The parties further assert:

MCS Industries and MSC are both sophisticated corporate entities that have arrived at the Settlement Agreement through extensive, arm’s length negotiations that involved businesspeople and counsel on both sides. They have determined based on their careful assessment of the case that the freely negotiated arm’s length agreement between them represents a fair resolution of the matter that avoids the costs and risks of further litigation. There is no indication or evidence whatsoever of fraud, duress, undue influence, or mistake or harm to the public. *See World Chance Logistics*, 31 S.R.R. at 1350 (noting that the Presiding Officer’s review of a settlement agreement “typically includes evaluating factors to determine that the settlement agreement was not a product of fraud, duress, undue influence, or mistake”). The Settlement Agreement does not contravene any law or public policy and is neither unjust nor discriminatory. It does not contemplate any adverse effects on any non-parties or the shipping public.

Motion at 3.

The global settlement resolves both the attorney fee issue in this proceeding and the arbitration. Based on the representations in the joint motion and other documents filed in this matter, the parties have established that the settlement agreement does not appear to violate any law or policy, or contain other defects which might make it unapprovable. The parties are represented by counsel and have engaged in arms-length settlement discussions. The parties have determined that the settlement reasonably resolves the issues between them without additional costly and uncertain proceedings. Accordingly, the settlement agreement is approved.

The parties request that the settlement agreement be kept under seal and confidential. Pursuant to Commission Rule 5(b), parties may request confidentiality. 46 C.F.R. § 502.5(b); *see*

also 46 C.F.R. § 502.141(j). The Commission recently stated that it “requires more formality and clarity, including a motion explaining the need for confidential treatment” and “good cause demonstrating that the information is a trade secret or other confidential research, development, or commercial information.” *Genesis Resource Enterprise Inc. v. Maersk Line, Ltd.*, Docket No. 2014(I), 2024 WL 5054939, at *1 (FMC Dec. 4, 2024).

Here, the parties request confidentiality, stating that the agreement “is the result of confidential commercial negotiations between the parties; therefore, the parties jointly request leave to file the Settlement Agreement under seal for review and approval, and that the Settlement Agreement thereafter continue to be afforded confidential treatment by the Commission.” Motion at 4.

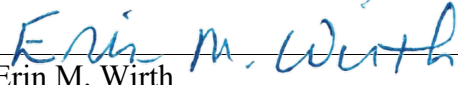
The confidential settlement agreement has been reviewed by the undersigned and is available to the Commission. Given the parties’ request for confidentiality, confidential commercial information included in the settlement agreement, and the Commission’s history of permitting agreements settling private complaints to remain confidential, the parties’ request for confidentiality for the settlement agreement is granted. The settlement agreement will be maintained in the Secretary’s confidential files under seal.

Upon consideration of the motion, the settlement agreement, and the record, and good cause having been stated, it is hereby:

ORDERED that the joint motion to approve the settlement agreement between Complainant MCS Industries and Respondent MSC be **GRANTED**. It is

FURTHER ORDERED that the request for confidential treatment be **GRANTED**. It is

FURTHER ORDERED that the request for dismissal of the fee petition with prejudice be **GRANTED**.


Erin M. Wirth
Chief Administrative Law Judge